MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS)
FOURTH SEMESTER EXAMINATION- MODEL QUESTION PAPER
(2024 ADMISION ONWARDS)
MG4DSECOM203 – FIXED INCOME SECURITIES AND DEBT MARKET

Duration: 1 1/4 Hour Maximum Marks: 70

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Attempt any twenty questions. Each question carries 1 mark.

1. A key feature of debt market is……. (Understand) (CO1)
   a) Ownership Rights **b) Fixed Maturity Period**
   c) Voting Rights d) Unlimited Returns
2. Tight monetary policy results in…… (Understand) (CO1)
   a) Higher Interest Rates b) More liquidity
   c) Lower Borrowing Costs d) Expansion of Credit
3. CCIL reduces…… (Understand) (CO1)
   a) Inflation risk b) Credit risk
   c) **Settlement risk** d) Political risk
4. Introduction of Primary Dealers occurred in …… (Understand) (CO1)
   a) 1985 **b) 1995** c) 2001 d) 2010
5. Primary Dealers system was introduced by …… (Understand) (CO1)
   a) SEBI **b) RBI** c) Government d) NSE
6. Fixed income securities generally have a…..... (Understand) (CO2)
   a) Perpetual life **b) Fixed maturity period** c) Uncertain life
   d) No repayment obligation
7. Which of the following is NOT an importance of fixed income securities? (Understand) (CO2)
   a) Capital preservation b) Regular income
   c) High speculative profit d) Economic stability

8. One disadvantage of fixed income securities compared to equities is…..... (Understand) (CO2)

a) **Lower capital appreciation** b) Fixed maturity
b) c) Predictable income d) Priority of claim

9. Government bonds with maturity exceeding 10 years fall under…..... (Understand) (CO2)

a) Short term securities b) Medium-term securities
c) Long term securities d) Money market instruments

10. Yankee bonds are issued in…..... (Understand)(CO2)
    a) Japan b) USA c) UK **d) India**

11. The maturity of CROMS transactions is ….. (Understand)(CO3)
a) Overnight b) 14 days c) 1 year d) 7 days

12. Asset segment instruments are generally ….....(Understand)(CO3)
a) High risk only b) Non-transferable
c) Transferable and tradable d) Short term only

13. NDS-OM contributes to …..... (Understand)(CO3)
a) Short-term credit creation **b) Development of debt market**
c) Foreign exchange stability d) Retail investment growth

14. Call money rate is determined mainly by ….....(Understand)(CO3)
a) RBI Notification b) Govt policies
c) Stock market movements **d) Demand and supply of funds**

15. Treasury Bills are issued by …..... (Understand)(CO3)
a) RBI b) Commercial banks c) SEBI **d) Govt of India**

16. CCIL act as…..... (Understand)(CO1)
a) Stockbroker b) Settlement system
c) Advisory system **d) Central Counter Party**

17. Under the RBI Retail Direct Scheme, which of the following instruments can retail investors buy? (Understand)(CO4)
a) T Bills b) Government of India Dated Securities (Bonds)
c) Sovereign Gold Bonds (SGB) **d) All of the other options**

18. Which entity is generally considered to have higher default risk compared to government bonds? (Understand)(CO4)
a) Municipal Bonds b) Sovereign Gold Bonds
c) Corporate Bonds d) T Bills

19. The Indian debt market is broadly divided into …..... (Understand)(CO4)
a) Capital market and forex market
b) Primary market and secondary market
c) Equity market and derivatives market
d) Commodity market and bullion market

20. Bonds that do not have a fixed coupon rate are called ….....(Understand)(CO4)
a) Zero Coupon Bonds b) Fixed Rate Bonds
c) Floating Rate Bonds d) Tax-Free Bonds

21. Cash Management Bills in India are issued by…… (Understand)(CO4)

a) RBI b) SEBI c) State Governments d) Commercial Banks

22. What is Capital Indexed Bonds? (Understand)(CO4)

a) Bonds where interest is paid monthly

b) Bonds where the principal is linked to an inflation index

c) Bonds with a fixed maturity of 1 year

d) Bonds issued only by private companies

[1 x 20 = 20]

Part B

Answer 25 Questions Each question carries 2 marks

23. Arrange participants in a debt market system flow. (Understand) (CO1)

a) Investor b) Regulator c) Issuer d) Intermediary

a) c → b → a → d b) b → d → c → a c) a → d → c → b d) b → c → d → a

24. Consider the following Assertion (A) and Reasoning (R). (Understand) (CO1)

Assertion (A): Debt market contributes to economic development.

Reasoning (R): It channels savings into productive investment.

a) Both A and R are true, and R is the correct explanation to A

b) Both A and R are true, and R is not the correct explanation to A

c) A is true and R is false d) A is false and R is true

25. Consider the following Assertion and Reason and answer the following. (Understand) (CO1)

Assertion (A): Debt market improves liquidity in the financial system.

Reasoning (R): Debt instruments can be traded easily in secondary markets.

a) Both A and R are true, and R is the correct explanation to A

b) Both A and R are true, and R is not the correct explanation to A

c) A is true and R is false d) A is false and R is true

26. Arrange the stages of debt market evolution in India: (Understand) (CO1)

a) Financial sector reforms b) Administered interest rate regime

c) Market-based interest rates d) Developed debt market

a) a → b → c → d **b) b → a → c → d** c) a → c → b → d d) d → c → b → a

27. . Consider the following Assertion and Reason and answer the following. (Understand) (CO1)

Assertion (A): FIMMDA regulates banks in India.

Reasoning (R): RBI regulates banks in India.

a) Both A and R are true, and R is the correct explanation to A

b) Both A and R are true, and R is not the correct explanation to A

c) A is true and R is false d) A is false and R is true

28. Match the advantages of fixed income securities with their role in financial planning and liquidity (Understand) (CO2)

(a) Liquidity - (i) Known maturity value
(b) Long-term planning - (ii) Can be sold in secondary market
(c) Capital certainty - (iii) Principal repaid on maturity
(d) Predictable cash flow - (iv) Helps in systematic financial planning

a) a-iv, b-iii, c-ii, d-i b) a-iii, b-ii, c-i, d-iv
c) a-ii, b-iv, c-iii, d-i d) a-i, b-iii, c-iv, d-ii

29. Consider the following Assertion (A) and Reasoning(R). Choose the correct alternative. (Understand) (CO2)

Assertion (A): Foreign currency bonds expose investors to exchange rate risk.
Reasoning (R): Interest and principal are denominated in a foreign currency.

a) Both A and R are true, and R is the correct explanation to A
b) Both A and R are true, and R is not the correct explanation to A
c) A is true and R is false d) A is false and R is true

30. Consider the following statements and state which of the statements are true about interest-based bonds: (Understand) (CO2)

Statement 1- Fixed rate bonds pay constant interest
Statement 2 - Floating rate bonds have changing interest rates
Statement 3 - Zero coupon bonds pay annual interest
Statement 4 - Zero coupon bonds are redeemed at face value

a) Statement (1) and (2) only **b) Statement (1) , (2) and (4) only**
c) Statement (1), (3) and (4) only d) Statement (1) and (3) only

31. Consider the following statements and state which of the statements are true related to bonds: (Understand) (CO2)

Statement 1 - Bonds are debt instruments
Statement 2 - Bondholders receive dividends
Statement 3 - Bonds have a fixed maturity period
Statement 4 - Bondholders are owners of the company

a) Statement (1) and (2) only b) Statement (1) , (2) and (4) only
c) Statement (1), (3) and (4) only **d) Statement (1) and (3) only**

32. Consider the following Assertion (A) and Reasoning(R). Choose the correct alternative. (Understand) (CO2)

Assertion (A): Fixed income securities are less risky than equity shares.
Reasoning (R): The returns on fixed income securities depend on the company's profitability.

a) Both A and R are true, and R is the correct explanation to A
b) Both A and R are true, and R is not the correct explanation to A
c) A is true and R is false d) A is false and R is true

33. Consider the following Assertion (A) and Reasoning(R). Choose the correct alternative. (Understand) (CO3)

Assertion (A): WACR reflects the weighted average of all call transactions.
Reasoning (R): It is calculated based on volume and rate of transactions.

a) Both A and R are true, and R is the correct explanation to A
b) Both A and R are true, and R is not the correct explanation to A
c) A is true and R is false
d) A is false and R is true

34. Consider the following Assertion (A) and Reasoning(R). Choose the correct alternative. (Understand) (CO3)

Assertion (A): F-TRAC improves transparency in CP and CD markets.
Reasoning (R): It provides electronic trade reporting and dissemination.

a) Both A and R are true, and R is the correct explanation to A
b) Both A and R are true, and R is not the correct explanation to A
c) A is true and R is false
d) A is false and R is true

35. The "Tri-party" in TREPS refers to…..... (Understand) (CO3)
a) Borrower, Lender and RBI
b) Borrower, Lender and CCIL (as intermediary)
c) Three banks only
d) RBI, SEBI and Government

36. The money market in India helps in …..... (Understand) (CO3)
a) Maintaining liquidity in the banking system
b) Capital formation
c) Industrial financing
d) Foreign exchange management

37. CROMS is primarily used for …..... (Understand) (CO3)
a) Trading foreign exchange
b) Dealing in Repo and CBLO (TREPS) transactions
c) Trading equities
d) Trading corporate bonds

38. The Bank Rate differs from the Repo Rate because ….. (Understand) (CO3)
a) Bank Rate is for long-term loans
b) Repo involves collateralized borrowing
c) Bank Rate is market-determined
d) Repo rate is unsecured

39. F-TRAC primarily deals with …..... (Understand) (CO3)
a) Government securities
b) Repo transactions
c) Commercial Papers and Certificates of Deposit
d) Equity shares

40. Consider the following statements and choose the most appropriate alternative. (Understand) (CO1)

Statement I - PDAI work closely with RBI and other regulatory body.
Statement II - FIMMDA helps in standerdisation of market practices documentation.

a) Both statements are true
b) Statement I is true, and Statement II is false

c) Statement I is false, and Statement II is true d) Both statements are false

41. Match the following (Understand) (CO3)

(a) MIBOR - (i) RBI
(b) Reverse Repo - (ii) Money Market
(c) Repo Rate - (iii) NDS call platform
(d) Call Money - (iv) Park Money

a) a-iii, b- iv, c-i, d- ii b) a- iii,b-iv,c-ii, d-i
c) a-iv, b-i,c-ii,d-iii d) a-I, b-iii, c-iv,d- ii

42. Use of derivatives such as interest rate swaps and futures helps in mitigating …..... type of risk. (Understand) (CO2)

a) Interest rate risk b) Credit risk
c) Sovereign risk d) Default risk

43. If a bond's duration is high, it implies …..... (Understand) (CO4)

a) Bond price is less sensitive to interest rate changes
b) Bond price is more sensitive to interest rate changes
c) Bond has no credit risk
d) Bond yield is always fixed

43. "Masala Bonds" are debt instruments where …..... (Understand) (CO4)

a) The interest is paid in gold b) The bonds are issued in USD but settled in INR
c) The bonds are rupee-denominated and issued in offshore markets
d) Only food processing companies can issue them

44. The settlement for T-bills auctioned is generally made on which basis? (Understand) (CO4)

a) T+0 **b) T+1** c) T+2 d) T+5

45. Which of the following is true about retail investors in the G-Sec market? (Understand) (CO4)

a) They cannot invest in T-Bills b) They need to open a separate Demat account
c) They can use existing demat accounts d) They are not permitted in primary auctions

46. Why are QIBs crucial for market stability? (Understand) (CO4)

a) They do not invest in debt securities. b) They only invest in equity, not bonds.
c) They sell all their shares during high demand.
d) Their long-term investment horizon helps reduce market volatility

47. Which of the following is true regarding the risk profile of SDLs? (Understand) (CO4)

a) They are high-risk instruments.
b) They carry higher credit risk than corporate bonds.
c) They are sovereign-guaranteed, making them low-risk.
d) They have no interest rate risk.

48. Open Bidding is …..... (Understand) (CO4)

a) Completely closed process **b) Transparent bidding process**

c) Book building process d) Green Shoe Option process

49. Consider the following statements and choose the most appropriate alternative.

Statement I- The clearing agency for government securities is NSCCL.

Statement II- Clearing agency for corporate bonds is CDSL. (Understand) (CO4)

a) Both statements are true b) Statement I is true, and Statement II is false

c) Statement I is false, and Statement II is true **d) Both statements are false**

[2 x 25 = 50]